

Cypress Corp

Quarterly Management Report — Q1 2026 (unaudited)

Reporting period: January 1, 2026 — March 31, 2026 · Currency: USD · Fiscal year end: December 31

Executive Summary. Q1 2026 revenue declined 8.5% year-over-year to \$46.5M as macro headwinds in Healthcare IT persisted. EBITDA compressed to \$4.5M (9.7% margin, down from 15.2% in Q1 2025) reflecting continued price competition and higher operating costs. Working capital remains tight; management is engaged with the Agent Bank on covenant compliance for the period.

Balance Sheet (USDk)	Amount
Cash and equivalents	12,500,000
Accounts receivable	28,000,000
Inventory	15,000,000
Other current assets	4,500,000
Total current assets	60,000,000
Property, plant & equipment (net)	165,000,000
Goodwill and intangibles	45,000,000
Other non-current assets	8,000,000
TOTAL ASSETS	278,000,000
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Accounts payable	22,000,000
Accrued expenses	15,000,000
Short-term debt (revolving credit)	18,000,000
Total current liabilities	55,000,000
Long-term debt (Term Loan B)	87,000,000
Other non-current liabilities	12,000,000
Total liabilities	154,000,000
Total stockholders' equity	124,000,000
TOTAL LIABILITIES & EQUITY	278,000,000

Income Statement (USDk)	Q1 2026	Q1 2025	YoY
Revenue	46,500,000	50,800,000	-8.5%
Cost of goods sold	30,500,000	31,400,000	-2.9%
Gross profit	16,000,000	19,400,000	-17.5%
Selling & marketing	5,800,000	5,200,000	+11.5%
General & administrative	5,700,000	4,500,000	+26.7%
Operating expenses	11,500,000	9,700,000	+18.6%
EBITDA	4,500,000	9,700,000	-53.6%
Depreciation & amortization	2,100,000	2,000,000	+5.0%
EBIT (operating income)	2,400,000	7,700,000	-68.8%
Interest expense	3,300,000	2,900,000	+13.8%
Income before tax	900,000	4,800,000	-81.2%
Income tax expense	200,000	1,100,000	-81.8%

NET INCOME (LOSS)	1,100,000	3,700,000	-70.3%
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Cash Flow (USDk)	Amount
Cash from operations	3,800,000
Less: Capital expenditures	-2,500,000
Free cash flow	1,300,000
Less: Scheduled principal payments (Term Loan)	-1,200,000
Cash available for other uses	100,000

Covenant Compliance Summary (Section 6.15 of Credit Agreement)

- **Total Net Leverage Ratio:** 5.83x (LTM basis, annualised from Q1) — **above 5.00x maximum**
- **Debt Service Coverage Ratio (DSCR):** 1.00x — **below 1.25x minimum**
- **Interest Coverage Ratio (ICR):** 1.36x — **below 2.00x minimum**

Management is in active dialogue with the Administrative Agent regarding the breach and will submit a compliance certificate with cure proposals within the 30-day cure period per Section 6.15(c).

Prepared by: Michael Chen, CFO · Reviewed by: Jennifer Park, Controller · Distributed to: Bank of Marin, N.A. (Agent) and all Lenders